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China Local Markets 2026 Mid-Year Outlook

Safer harbor, calmer waters

- **CNY FX and rates emerged as relative safe havens amid elevated global volatility in 1H26.** USD/CNH declined a further 2.4% in a smoother-than-expected glide, aided by a near one-way lowering in the fix. This resilience, against a shifting USD backdrop, lifted the CNY TWI by 4.5% and drove outperformance versus Asia and major G10 FX. Meanwhile, CNY rates remained insulated from the global rates sell-off, with yields lower across the curve. Combined with FX gains, CGBs delivered a total return of ~5% ytd—modest versus EM high-yielders, but still notable for a low-yielding market.
- **CNY FX: Staying constructive; expecting further CNY strength in 2H26.** Despite soft domestic conditions, resilient exports and a pickup in foreign inflows continue to underpin a strong flow backdrop for CNY FX. While wide US-China rate differentials remain a structural headwind, upcoming presidential engagements should encourage a supportive PBoC stance. Although the CNY TWI is above recent year trends, it remains well below prior peaks, leaving room for further gains. We remain bullish CNY FX and short USD/CNH via options, while staying open to rotate into higher CNH crosses if DXY firms further.
- **CNY Rates: Neutral on local duration; expecting yields to range bound.** CNY rates head into 2H26 with valuations looking slightly rich, as 10Y CGB yields trade below our estimated fair value of 1.85%. While these technicals point to near-term upside risks to yields, the misalignment is not large enough to suggest a meaningful risk of trend reversal. The strong duration demand seen in 1H26 is unlikely to fade meaningfully unless domestic demand shows a sustained recovery. Expectations for additional PBoC easing remain modest, with the forward curve pricing in roughly 5bp of cuts in the coming months, which we view as reasonable.

Emerging Markets Strategy

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Summary of JPM Forecasts and Strategy Views

	Latest	Forecasts				Strategy Views	Risk bias and trade recommendation
		3Q26	4Q26	1Q27	2Q27		
China Local Markets	USD/CNY	6.80	6.70	6.70	6.75	6.80	Bullish MW CNY FX in GBI-EM 3m 6.75 USD/CNH put
	CNY TWI	102.7	104.0	105.0	104.5	104.0	
	10y CGB yield	1.74	1.80	1.80	1.70	1.70	Neutral MW CNY rates in GBI-EM
Global Markets	Despite that domestic cyclical conditions remain soft amid weak demand, resilient exports and persistent corporate USD selling interest as well as a pick-up in foreign inflows to Chinese assets continue to underpin a strong BoP backdrop for CNY FX. Although wider US-China rate differentials remain a structural headwind, upcoming high-level engagements could incentivize the PBoC to retain a supportive bias, helping sustain currency gains. The CNY TWI is running above recent year trends but it still remains well below prior cycle peaks, leaving room for further appreciation. We head into 2H26 remaining bullish on CNY FX via short USD/CNH in options, while we stay open to rotating into higher CNH crosses should DXY momentum firm further.						
	CNY rates head into 2H26 with valuations looking slightly rich, as 10Y CGB yields trade around 10bp below our estimated fair value of 1.85%. While these technicals point to near-term upside risks to yields, the misalignment is not large enough to suggest a meaningful risk of trend reversal. The strong duration demand seen in 1H26 is unlikely to fade unless domestic demand shows a sustained recovery. While there is some optimism that an end to the Middle East conflict and a pickup in lagged fiscal spending could support a rebound in investment activity in the 2H, structural headwinds—including household balance sheet constraints and a prolonged property downturn—are likely to limit the scope for a domestically driven reflation, thereby keeping a cap on yields. Expectations for additional PBoC easing remain modest, with the forward curve pricing in roughly 5bp of cuts in the coming months, which we view as reasonable. We stay neutral on local duration, expecting yields to range bound.						
	DXY	101.4	101.1	102.4	102.8	104.0	
	EUR/USD	1.14	1.14	1.13	1.12	1.10	
	AUD/USD	0.69	0.71	0.69	0.69	0.69	
	USD/JPY	162	160	164	164	164	
	USD/KRW	1548	1540	1560	1580	1585	
	Fed Funds Target Rate	3.75	3.75	3.75	3.75	3.75	
	2y UST yield	4.09	4.15	4.20	4.20	4.30	
	10y UST yield	4.37	4.65	4.70	4.75	4.75	
	Brent oil price (eop)	74	87	78	71	67	

Source: J.P. Morgan

See page 15 for analyst certification and important disclosures.

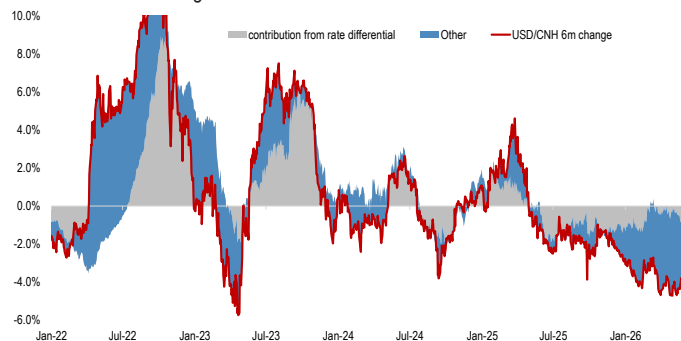
Safer Harbor, Calmer Waters

CNY FX (4Q26 USD/CNY 6.70): Stay bullish, short USD/CNH via options

A smoother-than-expected glide in 1H26. We entered 2026 bullish on CNY FX, and while the direction has proved correct, our year-end target of USD/CNY at 7.05—set in the [2026 year-ahead outlook](#) (YAO)—apparently appears conservative. At the time, this reflected concerns that a Fed on hold, alongside lingering tightening risks, would keep upward pressure on US yields and create a less supportive external backdrop for CNY FX as a low-yielder. In 2025, declining core rates and narrowing US–China differentials were a major source of CNY strength, accounting for more than half of the 4.5% decline in USD/CNH in 2H25. At the time of writing the YAO, we expected such impulses to turn less positive. Indeed, US–China rate differentials have re-widened in 1H26, yet USD/CNH has largely bucked this move, leaving the recent acceleration in its decline increasingly disconnected from rate fundamentals (Figure 1, Figure 2). At the same time, CNY strength, especially in 2Q26, appears somewhat misaligned with cyclical conditions, as data surprises turned sharply negative in 2Q amid broad-based weakness in domestic investment and demand. Our tracking of China’s market-implied risk premium suggests only limited adjustment in China-linked assets (Figure 3), including CNY FX to this softer backdrop, leaving pricing relatively bullish versus cyclical fundamentals, with gaps near year-highs (Figure 4).

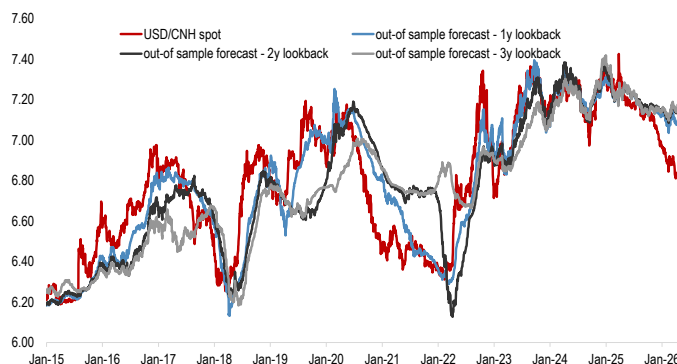
Figure 1: USD/CNH is becoming incrementally disconnected with rate fundamentals, ...

contribution to 6m change in USD/CNH



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 2: , ... with US-China yield differentials pointing to a much higher fair value for USD/CNH

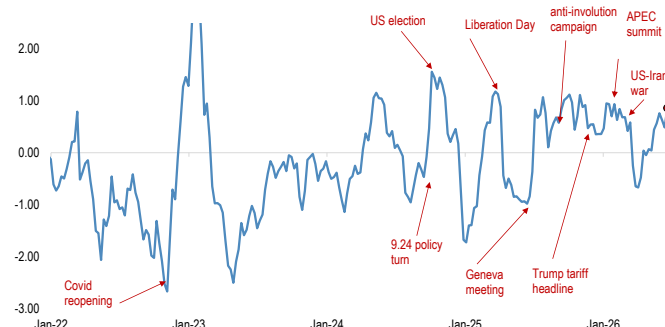


Source: Bloomberg Finance L.P., J.P. Morgan

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Figure 3: China-linked assets have yet to fully reprice the recent string of sharply negative data surprises, ...

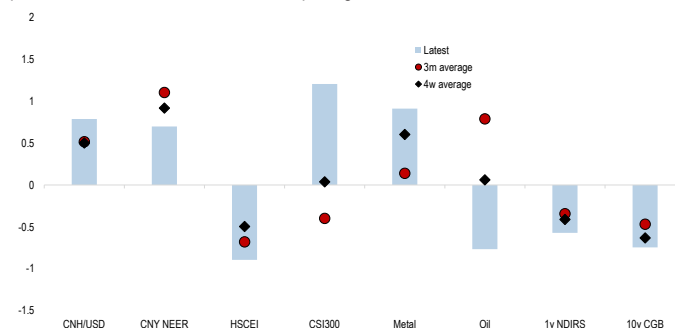
s.d., misalignment between market-implied China risk premium vs economic data surprises, +ve indicate bullish market pricing



Source: J.P. Morgan

Figure 4: , ... with CNY FX standing out as notably more bullish than other China-linked assets

s.d., misalignment between different asset returns vs market-implied China risk premium, +ve indicate bullish market pricing

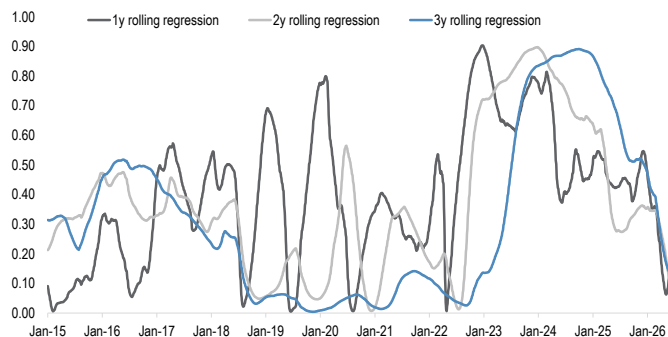


Source: J.P. Morgan

For CNY FX, though, such disconnects from rate differentials and domestic macro conditions are not uncommon, and model-implied valuations often fail to provide reliable contrarian signals. History has proved that the currency can decouple from rate fundamentals for extended periods without near-term mean reversion (e.g., 2018-22, Figure 5), particularly in the absence of clear PBoC guidance toward a weaker yuan. CNY FX is also less cyclically sensitive than many peers, with even pronounced misalignment versus domestic cyclical conditions not necessarily implying imminent reversal risks (Figure 6). These dynamics largely reflect China's trade-led BoP, a tightly managed capital account, and still-limited foreign participation, which dampen the transmission from macro and cyclical conditions into capital flows—especially outflows—so long as domestic weakness does not escalate into a complete confidence shock. Indeed, post-COVID-19 growth imbalances in China, with exports leading the recovery, have created a structurally supportive backdrop for CNY FX. In recent years, China's export performance has consistently surprised to the upside (Figure 7), supported by high-tech exports and emerging champions such as the “new three” (solar, EVs, and batteries), alongside favorable price dynamics. Amid the global AI cycle, Chinese tech exporters appear to be raising export prices (Figure 8), lifting nominal export growth beyond volume-based measures. Notably, export growth surprises (actual minus consensus) have closely tracked movements in export prices, underscoring the important role of pricing in shaping China's export performance.

Figure 5: CNY FX can decouple from rate fundamentals for extended periods

R-square of out-of-sample regressions of USD/CNH vs US-China yield differentials



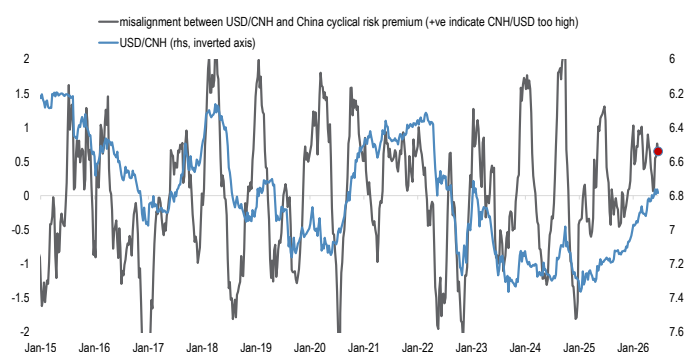
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 7: China's export performance has consistently surprised to the upside in recent years



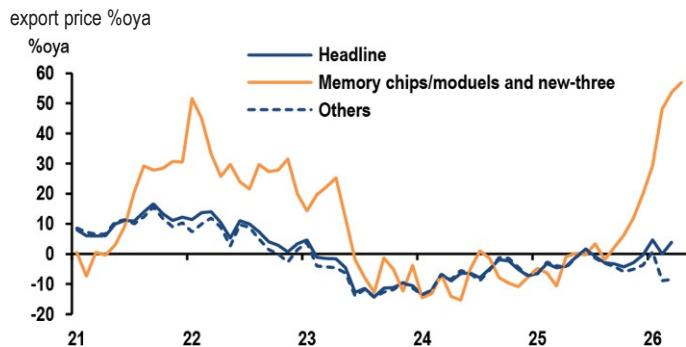
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 6: CNY's disconnect with cyclical fundamentals is not indicative of reversal risks



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 8: Chinese tech exporters have managed to raise prices, contributing to headline export strength



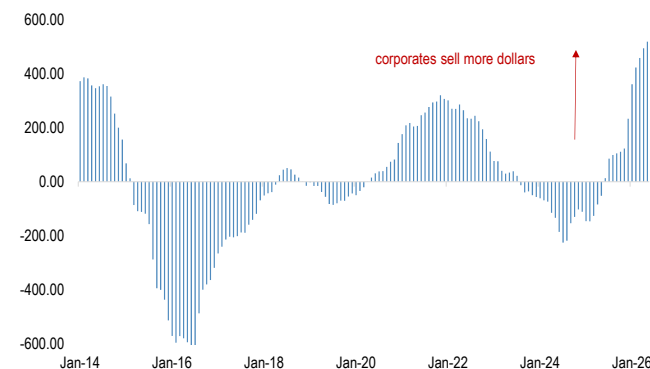
Source: China Customs, J.P. Morgan

Export strength only translates into FX strength if exporters are actively converting. This has been the case in China since 2025 when Chinese corporates turned from net dollar buyers to net dollar sellers, leaving it in contrast to its regional peers in North Asia where exporters' dollar income has yet to be translated into currency strength. According to SAFE's FX settlement data, Chinese corporates net sold ~\$543bn dollars since 2Q25, with the 12m run rate even outpacing that in 2021 when CNY FX also saw similar appreciation cycles (Figure 9). While the headline dollar selling has been impressively large, this needs to be put into the context of China's outsized monthly trade surplus at a monthly run rate of nearly \$100bn. Once flows are taken into account, it appears that corporates are merely converting part of their incremental trade income while the excess dollar savings that they have accumulated since 2022 during the period of CNY depreciation has yet to be offloaded in a meaningful way (Figure 10). As per our estimates, excess dollar savings accumulated by Chinese corporates since 2022 remain sizable, at around \$550bn–915bn. Even partial conversion of these holdings could exert appreciation pressure on CNY, leaving this stock of USD assets a persistent source of structural support for the yuan.

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Figure 9: Chinese corporates have turned into net dollar sellers since 2H25, ...

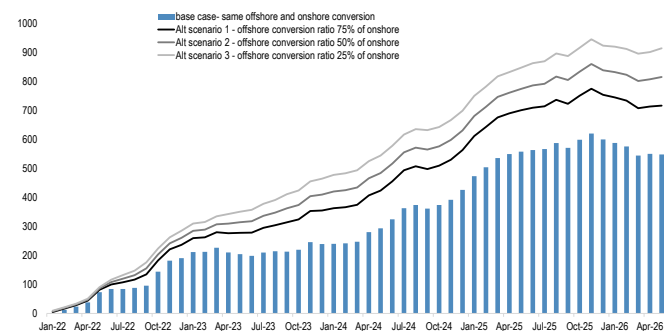
12m sum, \$bn, corporates net FX settlement



Source: SAFE, J.P. Morgan

Figure 10: , ... although FX conversion appears to be limited to incremental trade income, with the outsized stock of excess dollar savings accumulated in prior years yet to be meaningfully offloaded

JPM of excess dollar savings by Chinese corporates, \$bn, cumulative since 2022



Source: J.P. Morgan

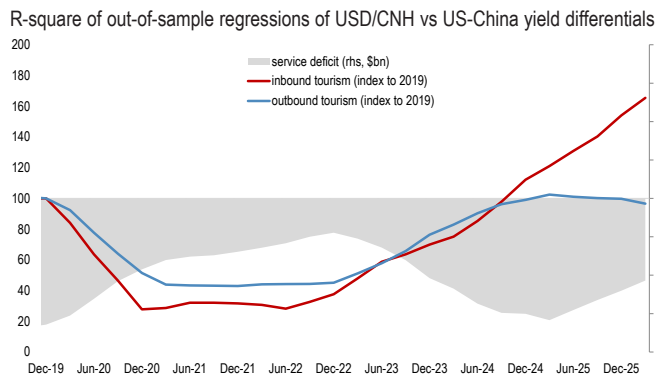
While the widening goods trade surplus and increased FX conversion have drawn most attention, CNY's BoP fundamentals have improved more broadly than that.

First, China's services deficit has narrowed visibly since 2025, moving back toward the COVID-19-era lows after widening post-reopening. This largely reflects a surprisingly strong rebound in inbound tourism, now exceeding pre-COVID-19 levels following the expansion of transit visa/visa-free schemes since 2024 (Figure 11). Residents from 55 countries can now visit and stay in China for up to 240 hours under the new visa policy. This has helped to boost tourism inflows while outbound tourism has largely plateaued after its post-reopening normalization, which on net helps to narrow China's service deficit by around \$50-60bn per year.

On the capital account side, foreign portfolio inflows have also strengthened, particularly in equities, with foreign buying of onshore Chinese stocks running at the fastest pace in recent years (Figure 12). The synchronized strength in CNY and domestic equities over the past year has created return synergies that are attracting inflows. While regional funds have added exposure to Chinese stocks since 2025, global active funds remain structurally underweight, leaving scope for further inflows if/when positions neutralize further (Figure 13). Despite weak domestic cyclical, China's positioning as a credible AI alternative play could support foreign allocation ([China Equity Strategy: Unique opportunities in the China AI ecosystem](#)).

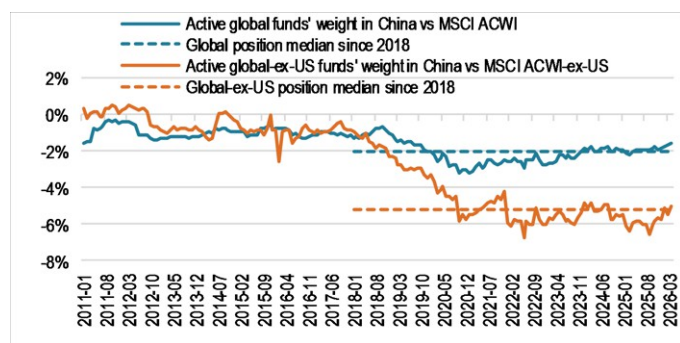
On the bond side, while the low yield profile of Chinese bonds remains a relative drawback and a constraint on a meaningful return of foreign participation, we have seen tentative signs of a pickup in inflows in recent months (Figure 14). The resilience of both CNY FX and the bond market during recent global rates sell-offs reinforces their "safe-haven" characteristics, while low correlation with global rates enhances their appeal as a diversification asset. Looking ahead, the expected rollout of bond futures in Hong Kong and the PBoC's FIMA repo facility—aimed at advancing RMB internationalization—could provide incremental support for foreign demand for Chinese bonds ([EM Quicktake: New PBoC facilities announced at Lujiazui](#)).

Figure 11: The accelerated growth in inbound tourism has helped to narrow China's service deficit



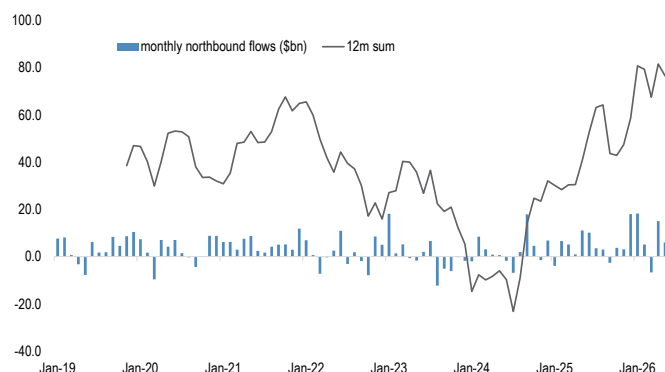
Source: SAFE, J.P. Morgan

Figure 13: Active global funds remain UW China, preserving room for more inflows



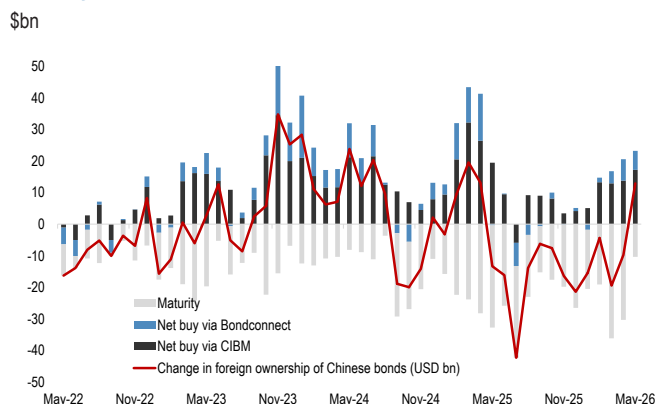
Source: EPFR Global (30 April 2026), MSCI (30 April 2026), [J.P. Morgan Equity Strategy](#)

Figure 12: Foreign inflows to onshore Chinese stocks have picked up



Source: J.P. Morgan

Figure 14: Foreign demand in Chinese bonds has shown tentative recovery



Source: CFETS, J.P. Morgan

2021 déjà vu? Recent CNY strength has drawn comparisons to 2021, when a similar appreciation cycle was driven by strong twin surpluses. At the time, the narrative around China exceptionalism underpinned a sustained move in USD/CNH toward the 6.3 handle. Even as the USD cycle turned bullish in 2H21, USD/CNH continued to decline—falling a further ~2.5% in the second half of 2021—despite a broader dollar rally of over 4%. While there are clear similarities, particularly in the supportive BoP backdrop, important differences point to a less organic foundation for CNY strength this time.

For one, domestic fundamentals are notably weaker nowadays. In 2021, post-COVID-19 policy easing and pent-up demand drove a strong cyclical upswing in China, with consumer sentiment rising to multi-year highs (Figure 15). In contrast, a prolonged property destocking cycle and lingering balance sheet scars among households continue to constrain the recovery in investor confidence, limiting upside in China-linked risk assets beyond selected structural themes such as AI. The external backdrop is also less supportive this time. In 2021, global monetary easing left CNY offering a positive carry of around 3%, making it an organically attractive long for global FX investors (Figure 16). Today, CNY's carry profile has effectively reversed, with its low-yielding nature dampening its investment appeal. Against this backdrop, the currency's ability to sustain

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appreciation—particularly against a strengthening dollar—may be more limited than in 2021 and could require more active policy support from the PBoC.

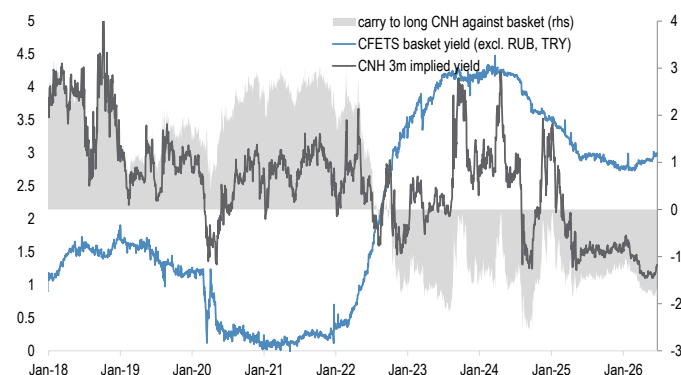
Figure 15: China's consumer confidence has yet to recover

consumer confidence index



Source: PBoC, J.P. Morgan

Figure 16: The external backdrop was more favorable for CNY FX in 2021, with low global yields underpinning CNY's positive carry back then



Source: Bloomberg Finance L.P., J.P. Morgan

PBoC FX policy since 2Q25 has reflected a well-calibrated stance. On one hand, the near one-way glide in the daily fixing signals the PBoC's comfort with a stronger CNY and a directionally lower USD/CNH. On the other, the persistently wide spot–fix gap and continued smoothing via agent banks underscore the authorities' intent to retain control over the pace of appreciation. In practice, CNY gains have been tightly managed, with six-month total returns on long-CNH positions capped at around 2%—well below previous appreciation cycles (Figure 17).

This managed approach has worked in the PBoC's favor along several dimensions. The pace has been firm enough to incentivize corporates to reduce elevated USD holdings and FX exposure, yet gradual enough to avoid disorderly or panic-driven selling that often leads to higher FX volatility. By containing total returns, the authorities also deter excessive speculative inflows that could later unwind abruptly. Consistent with this, speculative positioning appears materially lighter than in prior cycles, as reflected in a relatively contained CNH–CNY basis throughout this appreciation cycle (Figure 18). At the same time, a stronger yuan has supported domestic asset valuations and created return synergies, helping to attract foreign inflows and advance PBoC's broader objective of RMB internationalization.

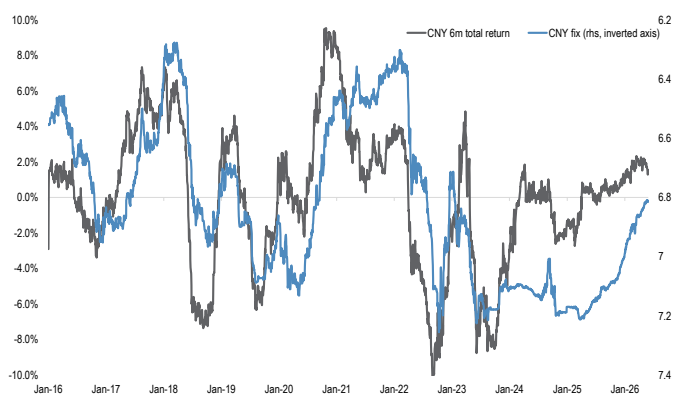
That said, historical precedent suggests the PBoC's tolerance for currency strength is not unlimited—an important source of investor anxiety given the well-subscribed bullish CNY theme, following a roughly 6% year-on-year decline in USD/CNH and increasingly crowded positioning. Looking back, there have been episodes of policy-engineered weakness once appreciation was judged to have overshot, most notably in early 2022, which marked a turning point from the appreciation cycle that began in 2020.

However, we do not think the current environment is close to that threshold. On a trade-weighted basis, overvaluation was far more pronounced in past episodes, with the CNY NEER reaching around 13% above trend at its peak (Figure 19). By contrast, although the CFETS TWI has risen by more than 8% year-on-year, it is only about 4.5% above trend—well short of prior extremes—suggesting limited urgency for the PBoC to

cap CNY strength or engineer outright depreciation. Moreover, the PBoC has historically maintained a supportive FX stance around major diplomatic engagements (Figure 20). A pipeline of presidential meetings in the coming months, including a potential state visit by President Xi to the US, provides an additional anchor for near-term policy support. **Against this backdrop, the risk of a sudden, policy-driven reversal in USD/CNY appears low. If anything, risks may be tilted toward stronger-than-expected spot appreciation. The accelerated decline in CNY fixings in recent months, alongside widening US–China yield differentials, raises a tentative possibility that the PBoC may be leaning toward a more total-return-oriented FX framework—allowing or engineering greater spot strength to offset structurally negative carry.**

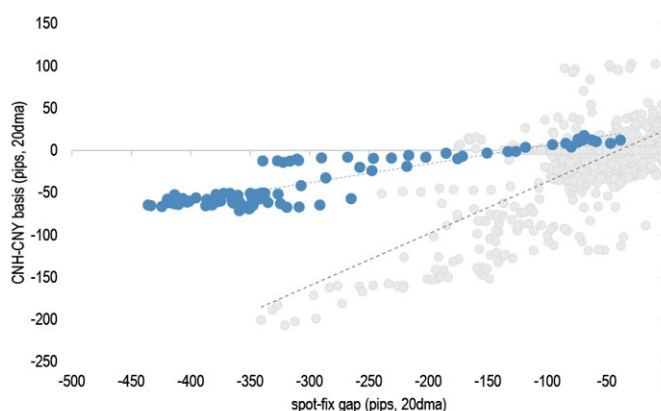
We head into 2H26 expecting the CNY appreciation trend to remain intact, albeit at a softer pace against the USD amid a broader bullish turn in the dollar ([FX Mid-Year Outlook: Ten questions and answers on currencies in 2H26](#)). Our year-end forecast stands at 6.70. We remain positioned for further CNY strength via options (long 3m USD/CNH 6.75 puts), while staying open to rotating into higher CNH crosses, where we see greater headroom for CNY TWI appreciation should DXY momentum strengthen further in the months ahead.

Figure 17: A managed appreciation has limited the total return from CNY longs



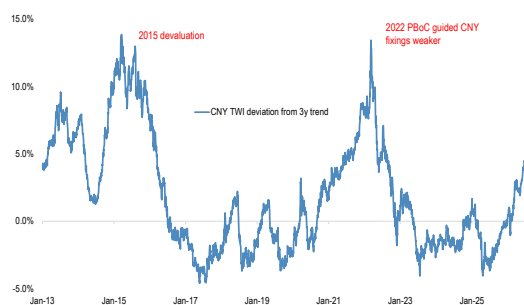
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 18: Speculative positioning appears materially lighter than in prior cycles, as reflected in a relatively contained CNH–CNY basis



Source: Bloomberg Finance L.P., J.P. Morgan

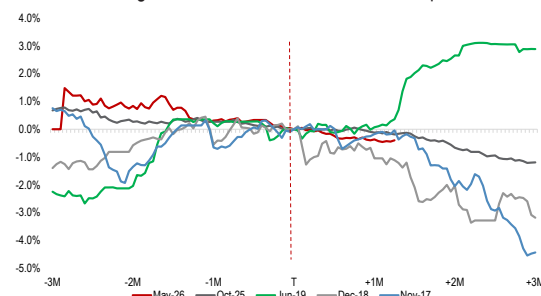
Figure 19: CNY NEER looks still far from previous cycle extremes



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 20: The PBoC tends to maintain a supportive FX stance around presidential summits

cumulative change in CNY fix, T indicates the date of presidential summits



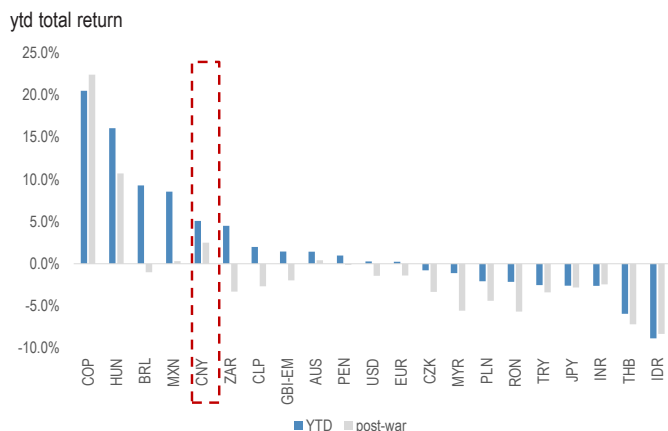
Source: Bloomberg Finance L.P., J.P. Morgan

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CNY Rates (4Q26 10y CGB yield: 1.80%): Neutral local duration, expecting yields to range bound

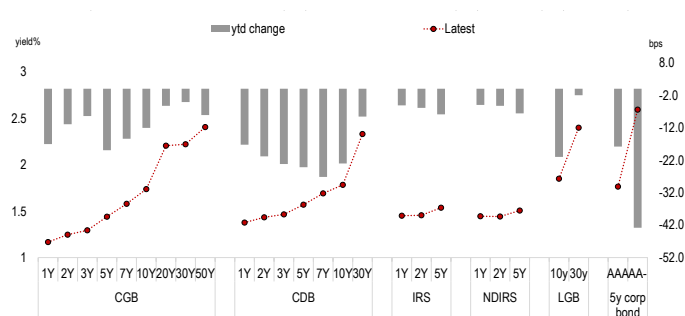
A liquidity-charged duration rally in 1H26. CNY rates have remained relatively insulated from the global rate sell-off in 1H26, with Chinese bonds emerging as a relative safe haven amid rising yields elsewhere. Combined with currency appreciation, Chinese bonds delivered around 5% total return in the first half of the year (Figure 21). While this trails the double-digit gains seen in the absolute higher-yielder such as COP, HUF, and BRL rates, it is still notable for a low-yielding market as it has outperformed both major DM rates and regional Asian peers. CGB yields declined by 4–17bp across the curve, led by a richening in the front end (Figure 22). The resulting bull-steepening suggests that the rally was primarily driven by looser-than-expected liquidity conditions, which typically favor short-end bonds. Our liquidity conditions index indicates that overall conditions have eased to their most accommodative level since 2022 (Figure 23). While the period of easy liquidity conditions initially stemmed from above-average injections by the PBoC in January and February, these conditions have remained broadly intact through 2Q, even as the PBoC shifted toward liquidity drains in recent months (Figure 24).

Figure 21: Chinese bonds have emerged as a relative safe haven amid recent global rate sell-offs



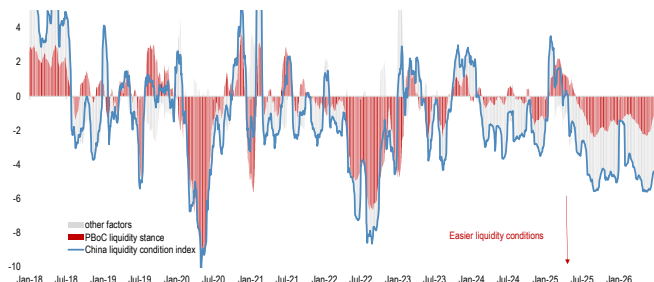
Source: J.P. Morgan

Figure 22: Bond yields have fallen across the curve



Source: SAFE, J.P. Morgan

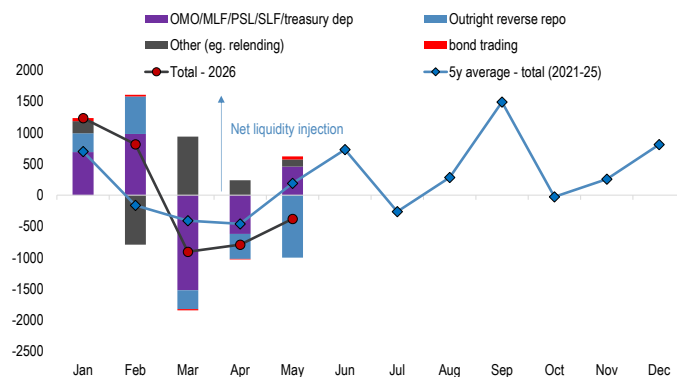
Figure 23: Liquidity conditions eased to the most accommodative level since 2022, ...



Source: J.P. Morgan

Figure 24: , ... before PBoC's liquidity drains leading to marginal tightness

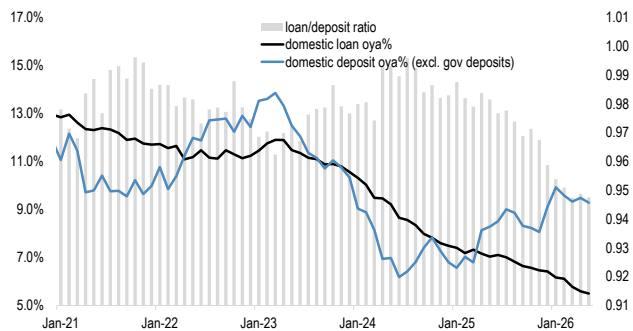
net PBoC liquidity supply, CNYbn



Source: PBoC, J.P. Morgan

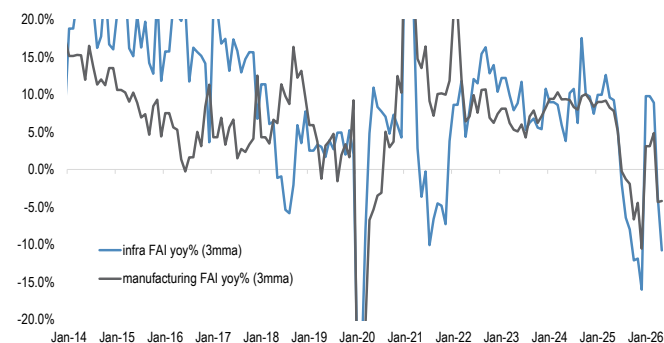
The yield hunt by domestic investors, amid subdued credit demand, continues to underpin strong duration demand. Against a backdrop of ample liquidity, the search for yield by investors has intensified, as reflected in the visible outperformance of bonds over swaps—suggesting that asset allocation demand from onshore investors has been a key driver behind the smoother-than-expected decline in bond yields. This came against a backdrop of tepid loan growth (Figure 25), as both investment and consumption have lost momentum in recent months (Figure 26). In contrast, deposit growth has remained robust, dispelling earlier concerns that a large stock of maturing time deposits could be reallocated into risky assets, triggering deposit outflows from banks, potentially putting pressure on bond demand. Instead, deposit growth has held steady at above 9% in 1H26, significantly outpacing loan growth of around 5%. At the same time, the liquidity glut has also been reinforced by growing AuM in wealth management products following an early-year dip, alongside sustained inflows into bond and money market funds (Figure 27). This combination has provided a solid flow backdrop for duration demand, further intensifying the yield search among domestic investors. As a result, not only have government bond yields moved lower, but demand has also broadened to onshore credit bonds offering higher yields. Credit spreads on onshore corporate bonds have consequently compressed to their tightest levels on record (Figure 28).

Figure 25: Deposit growth has far outpaced loan growth, ...



Source: Haver, J.P. Morgan

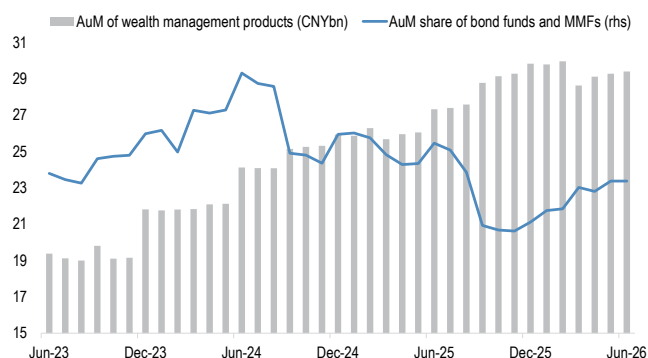
Figure 26: , ... against a backdrop of softening domestic investment activities



Source: Wind, J.P. Morgan

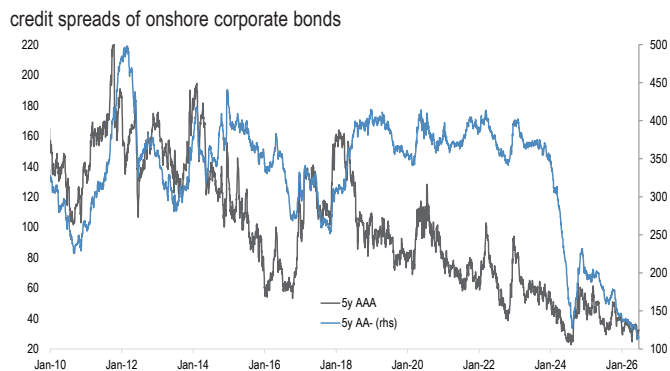
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Figure 27: Expanding AuMs in domestic bond funds and wealth management products underscores robust flow support for Chinese bonds



Source: Wind, J.P. Morgan

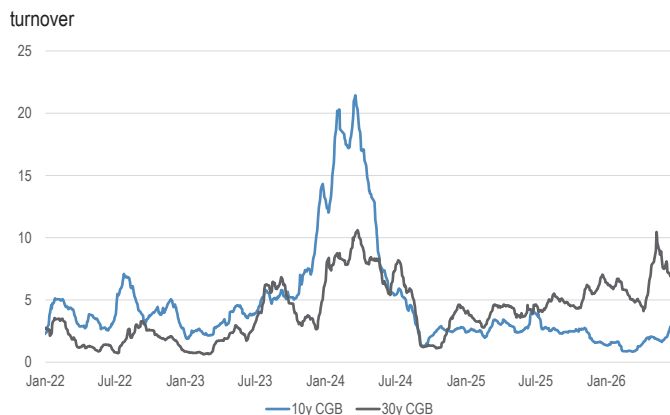
Figure 28: The intensified yield hunt from domestic Chinese investors has driven onshore credit spread to historical tight



Source: Wind, J.P. Morgan

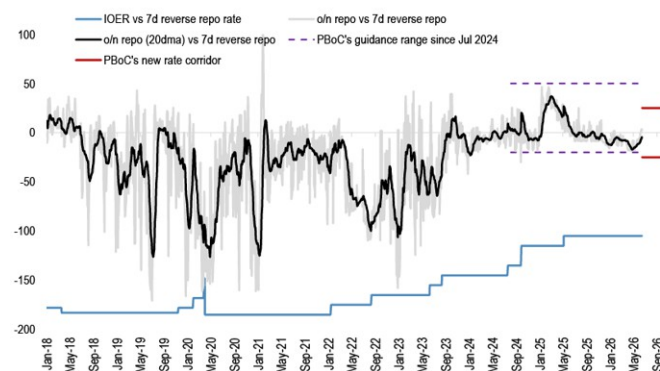
The PBoC's pushback against declining yields has remained measured. Beyond signaling discomfort with the intensifying liquidity glut—evidenced by proactive liquidity drains to manage deviations of money market rates from policy rates—the central bank has refrained from directly guiding banks to curb bond purchases. This restraint partly reflects the still-moderate level of market trading activity. While turnover in CGBs has picked up, it remains well below previous extremes (Figure 29), suggesting limited signs of overheating that would otherwise warrant stronger regulatory intervention. As we have noted previously, recent liquidity withdrawals should not be interpreted as a shift toward outright tightening. Rather, they appear aimed at mitigating the risk of a liquidity trap, where weak credit demand and excess liquidity could fuel speculative trading and weaken monetary policy transmission. At the latest Lujiazui Forum, the PBoC refined its operational framework by enhancing its overnight liquidity facilities, narrowing the rate corridor to ± 25 bp around the 7-day reverse repo rate (from $+50/-20$ bp previously), and signaling a gradual move toward incorporating the overnight rate as a policy target ([EM Quicktake: New PBoC facilities announced at Lujiazui](#)). These adjustments should help to improve control over short-term funding costs and reduce rate volatility. With the overnight repo rate now broadly re-anchored around 1.4% in line with policy rates, we believe the risk of further policy-induced tightening has diminished in the near term (Figure 30).

Figure 29: While turnover of CGB trading has picked up, it remains well below previous extremes



Source: Wind, J.P. Morgan

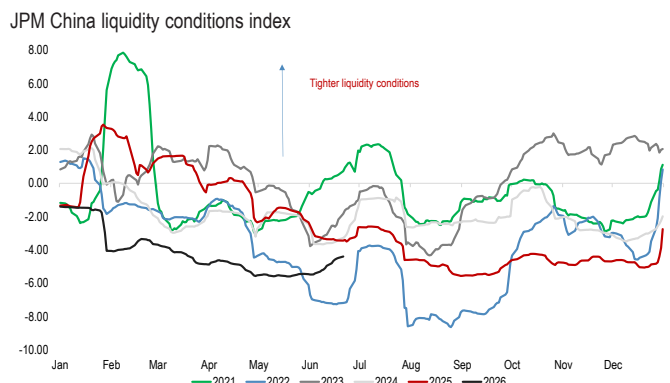
Figure 30: The overnight repo rate is now re-anchored to PBoC's policy rate, reducing near-term risks of further policy-engineered tightening



Source: Bloomberg Finance L.P., J.P. Morgan

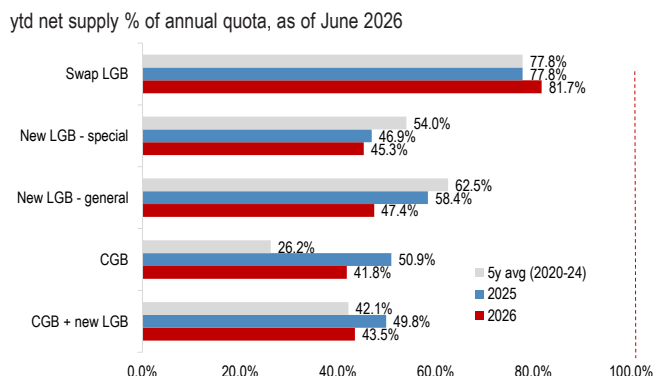
Bond supply is set to pick up after net issuance has lagged last year's pace. While the risk of policy-engineered tightening has diminished, CNY rates still need to contend with a seasonal increase in bond issuance and the associated liquidity shortfalls in the coming months. Historically, liquidity conditions tend to ease into mid-year before tightening from late 3Q onwards (Figure 31). This pattern has often been driven by back-loaded bond issuance, with 60% of the net government bond supply used to be concentration in 2H. That said, since last year, bond supply—particularly CGB issuance—has become less back-loaded. So far this year, issuance has trailed last year's pace (Figure 32), implying somewhat heavier supply pressure ahead. However, we expect the PBoC to provide the necessary liquidity to offset this supply pickup, helping to anchor money market rates within its newly defined rate corridor, which should largely limit the supply overhang for CNY rates.

Figure 31: Liquidity conditions tend to ease into mid year before tightening from late 3Q onwards



Source: J.P. Morgan

Figure 32: Government bond issuance this year has trailed last year's pace



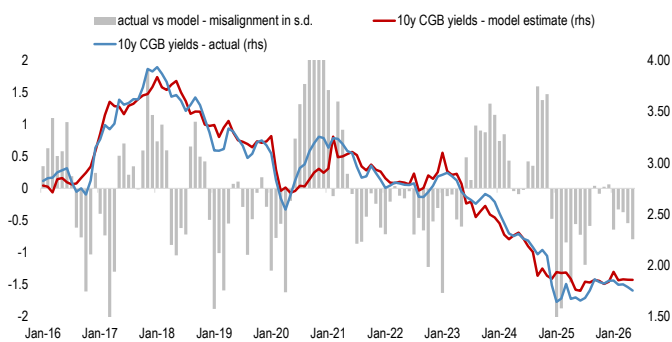
Source: Wind, J.P. Morgan

We remain MW in CNY rates, expecting yields to stay broadly range-bound (YE target for 10y CGB yields at 1.8%). As we head into 2H26, valuations look slightly rich, with 10Y CGB yields trading around 10bp below our estimated fair value of 1.85% (Figure 33). While these technicals point to near-term upside risks to yields, the misalignment is not large enough to suggest a meaningful risk of trend reversal. The

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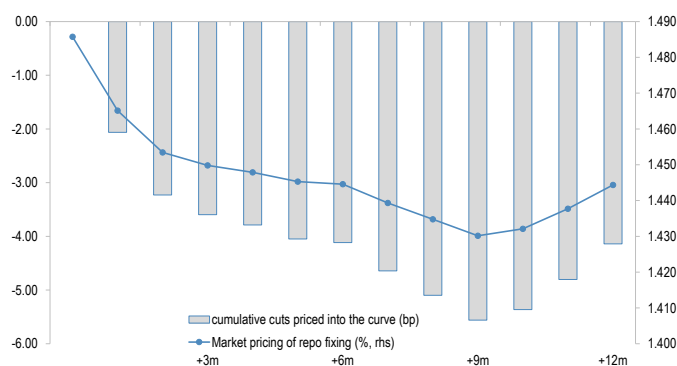
strong duration demand discussed above is unlikely to fade unless domestic demand shows a sustained recovery. While there is some optimism that an end to the Middle East conflict and a pickup in lagged fiscal spending could support a rebound in investment activity in the 2H, structural headwinds—including household balance sheet constraints and a prolonged property downturn—are likely to limit the scope for a domestically driven reflation, thereby keeping a cap on yields. Expectations for additional PBoC easing remain modest, with the forward curve pricing in roughly 5bp of cuts in the coming months, which we view as reasonable (Figure 34). Against this backdrop, we maintain a neutral stance on CNY rates.

Figure 33: 10y CGB yields are trading slightly rich vs our model, though the misalignment is not large enough to suggest meaningful risks of trend reversal



Source: J.P. Morgan

Figure 34: CNY rates have low expectations of further PBoC rate cut



Source: Bloomberg Finance L.P., J.P. Morgan

China Local Markets Publications in 2026

- EM Quicktake: New PBoC facilities announced at Lujiazui - Jun 17, 2026 - see [here](#)
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